January-June 2010

Monetary Policy Statement

Monetary Policy Department

BANGLADESH BANK

Bangladesh Bank

Monetary Policy Statement, January-June 2010.

January19, 2010

Executive Summary

Introduction*: This ninth issue of Bangladesh Bank's (BB's) half yearly Monetary Policy Statement (MPS) outlines the monetary policy stance to be followed in H2 FY10 in support of pursuits of attaining sustained high broad-based economic growth in the unfolding internal and global context, while containing inflation within tolerable moderate levels. In departure from earlier practice, BB has held much more extensive stakeholder consultations before drawing up this issue of MPS; eliciting views and suggestions from past Finance Ministers/Advisers/Governors, specialist think tanks, and trade bodies representing commerce and industry sectors including the banking sector; besides the usual Co-ordination Council consultations with the government. In campaign field visits for wider financial inclusion BB Governor and his senior management team members have interacted at grass roots level with people engaged in farming and in Small and Medium-scale Enterprises (SMEs). The broad consensus emerging out of the stakeholder consultations is that supportive monetary stance and stimulatory fiscal stance need to continue till fuller restoration of investment confidence in the domestic economy with firmer demand recovery in export markets emerging out of the global recession; with exercise of due caution about inflation risks on the path ahead.*

Successful triggering of broad-based growth in real output with supportive monetary and fiscal stances will alleviate risks of build up of inflationary pressures, creating benign conditions on the supply side. Credit resources from the supportive stance ending up instead largely in uses for speculation and conspicuous consumption will create inflationary pressure fueled by excess demand; which is why the support elements beyond some extent of general easing need to be selectively targeted with care.

Near term growth outcome and outlook*: BB's MPS for H1 FY10 announced in July 2009 projected real GDP growth of 5.5-6.0 percent for FY10, based on the BBS estimate of 5.9 percent growth in FY 09, assuming that the then incipient recovery of world economy from the downturn triggered by the global financial crisis will hold pace or strengthen further. Broad-based global recovery has proceeded faster than initial forecasts. Led by China and India, Asia is projected to register strong growth; but recovery in North America and Europe have remained slower and less surefooted, with some concern in US even about likelihood of a double dip recession.*

In Bangladesh economy ***domestic demand remains robust, well supported by growing workers' remittance inflows and budgetary stimulus outlays including higher social safety net spending.*** *Up to date data on quantum index of manufacturing are unavailable, but the index was on positive trend in August 09, and rising trend in opening of LCs for imports by the industrial sector in H1 FY 10 indicate growing trend in manufacturing output in response to domestic demand.*

Recovery in export demand in the traditional markets in North America and Europe has been somewhat slower than initially hoped for. Extra-cautious consumption behavior of post-crisis consumers in developed countries in the west is indeed a matter of some concern for Bangladeshi exporters. The

export growth slowdown of H2 FY09 continued in H1 FY10, bottoming out at 11.7 percent y-o-y decline in Q1 FY10 but turning around thereafter, with decline narrowing to 6.9 percent y-o-y in July-November 09. Order books of apparels and textiles exporters (more than three fourth of total exports) are reportedly full, against which LC opening for imports of apparels and textiles sector inputs increased in H1 FY10. There are anecdotal reports that due to slower demand recovery in the West, globally active retail chains are requesting deliveries in Japan and China against some of their orders for Western markets; this bodes well for geographical diversification of exports of Bangladesh. The Taka 10 billion support package declared by the government in October 09 for this export sector includes time-bound temporary support measures like waiver of license fee costs of off grid captive power generation and incentive for exports to non traditional destinations. Shrimp exports to Western markets, on hold for some months now for producers to sort out quality control issues, will resume in Q3 FY 10. ***With these trends and initiatives, exports in the coming months are expected to regain enough momentum for FY 10 export growth to be in double digits, as in FY09; contributing to manufacturing output growth in the industry sector.***

Output activities in the construction sub sector of industry have remained strong in FY 10. Activities of developers in residential and commercial building construction have spread into other urban centers and tourist sites besides the capital city, with the growing workers' remittance inflows strongly fuelling demand and creating bubble-like price pressures in the real estate markets. Banks and other FIs need to be careful in handling this bubble-like asset price situation. ***Given the robust domestic demand, growing recovery momentum in export demand, and buoyancy in construction sector activities, overall growth outlook for industry sector output for FY 10 appears quite encouraging.***

Following a strong 4.63 percent agriculture sector output growth in FY09, output of the (small) Aus rice crop in FY 10 suffered some decline (1.71 million metric ton, against 1.89 million metric ton in FY 09); but the 13.10 million metric ton FY 10 Aman rice output has been substantially higher, against 11.61 million ton of FY 09. Instead of the usual price decline following harvest seasons, market prices of rice in the local market have held firm and are on upward bias, presumably due to the much higher prices prevailing in neighboring countries and elsewhere. This has acted as a strong incentive spurring farmers to expand acreage of their Boro rice crop, reportedly being sown even in the shallower riverbeds and canal beds seasonally drying up in the winter, with extensive use of higher yield hybrid seeds. The government and BB have maintained alert watch on timely availability of necessary inputs and financing for the growers. Already 49 percent of the disbursement target of agricultural credit for the current fiscal year has been achieved during H1 FY 10. Subject to weather conditions not turning adverse, the 19.00 million metric ton output target set by agriculture ministry for FY 10 (against 17.81 million metric ton of FY 09) look likely to be attained or exceeded. FY 10 growth in potato output is understood to be good, with growers responding to higher market prices of the preceding harvest. There are no reports of major climatic or other difficulties for output activities in other food and non food agricultural crops, dairy and poultry. The resumption of shrimp exports in Q3 FY10 will surely stimulate its increased output. ***Overall, barring unforeseen adversities, it will not be unrealistic to expect agriculture sector output growth to match or come close to the strong FY09 performance.***

FY 10 output growth in the services sector will be supported by the abovementioned trends of activities and initiatives in industry and agriculture. Private sector led activities in the education and health sub-sectors are quite brisk , and new retailing and catering outlets are seen mushrooming countrywide, aided partly by the recent thrust on SME financing. In the financial services sub sector,

bank lending growth has been slower in H1 FY10 but capital market activities have remained buoyant. Overall, ***the present outlook for FY10 real GDP is much the same as the 5.5-6.0 percent growth projected earlier in the July 09 MPS; which could be brighter with full and timely use of budgetary outlays for projects in the Annual Development Program (ADP).***

Near term inflation outcome and outlook: *The declining trend of 12-month average CPI inflation from Q2 FY09 has continued in FY10; coming down to 5.11 percent in October09 from 6.6 percent at the beginning of FY10. Point-to-point CPI inflation has been on fluctuating trend however, with upward bias both in food and non food inflation (table-1, page-7). Food and non food commodity prices in the international markets have firmed up, with uptrend in many of these. Domestic prices of food grains are for this reason holding firm even in the harvest seasons. Given these trends, the fluctuating p-to-p CPI inflation looks set to be somewhat on upward bias in the coming months. Accordingly****, the 12-month average CPI inflation is likely to cease decline; creeping upward in H2 FY 10 but remaining within the 6.5 percent by the end of FY 10 (June 2010), as earlier projected in the July 09 MPS.*

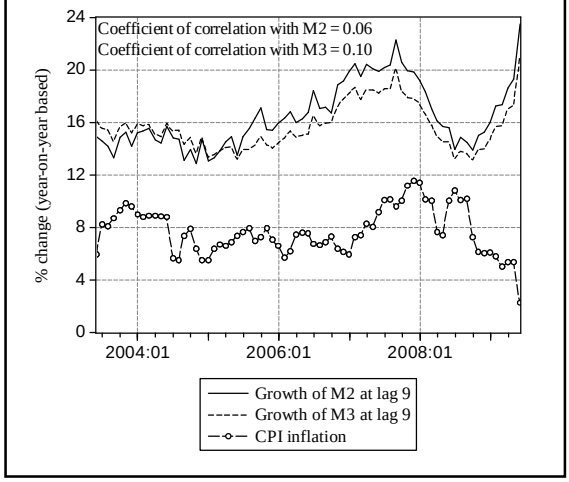
Monetary policy stance for H2 FY10*: The growth and inflation outlook reported in the MPS for H1 FY 10 announced in July 09 thus remain broadly unchanged. The surplus liquidity seen at the beginning of FY 10 (high excess reserves of banks with BB, remittance inflow accumulations in foreign exchange) has already been largely used up in private sector credit and import growth driven by pick up in output and investment activities from Q2 FY10 onwards; allaying concerns that the liquidity surplus could largely end up in speculative uses, stoking inflation. Monetary conditions are no longer as lax as at the beginning of FY10, the weighted average inter-bank call money rate which went below one percent in July 09 is now above four percent. However, with the government's access to substantial volumes of foreign financing and National Savings Scheme deposits in H1 FY10, public sector borrowing from the banking system has declined, freeing up credit resources for growing private sector activities.* ***While buildup of price pressure will be on constant watch, the prevailing supportive monetary conditions will be continued in H2 FY10 to facilitate the recovery in exports and new investments taking firmer roots. Within this supportive general stance, BB's monetary and credit policies will continue targeted programs pursuing fuller financial inclusion of the economic activity segments (including agriculture and SMEs) and population segments under-served by the markets, towards fostering inclusiveness of economic growth.***

1. <u>Policy approaches and tools:</u> BB's monetary policies aim at maintaining price stability while permitting monetary expansion needed to support output growth at sustained high rate. The money stock growth-CPI inflation correlation holds fairly well (charts 1.1, 1.2) in Bangladesh economy characterized by significant extent of restrictions on capital transactions with the rest of the world. Based on this correlation, BB employs monetary targeting to influence CPI, drawing up monetary programs each financial year with target growth path for broad money (M2: currency in circulation plus bank deposits) that accommodates monetary expansion commensurate with the projected real GDP growth, inflation, and the likely change in income velocity of money (change in GDP/M2 ratio). Reserve Money (RM: currency in circulation plus balances of banks with BB) growth path is the operating target used by BB to influence the M2 growth path (the intermediate target), for this in turn to influence CPI, the final target. Growth paths of a host of other monetary aggregates/sub-aggregates on the asset and liability sides (e.g., domestic and foreign assets, credit to public and private sector, currency, time and demand deposits) are also monitored in the monetary program, to assess the growth supportiveness and inflationary impact of monetary growth.

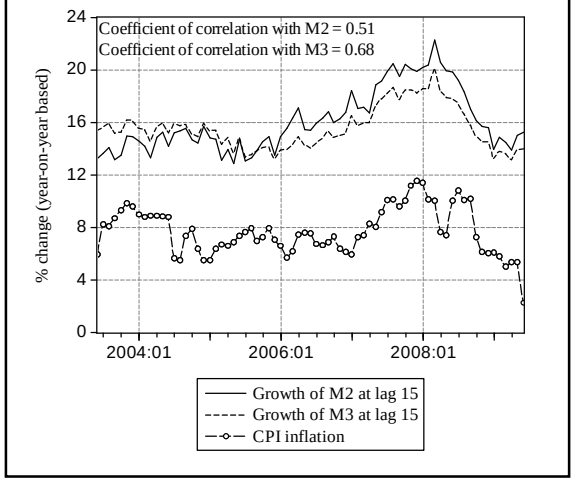
Chart 1.1: Monetary growth and CPI inflation during post-floatation regime

(2003:06-2009:06)

(a) At 9-months lag



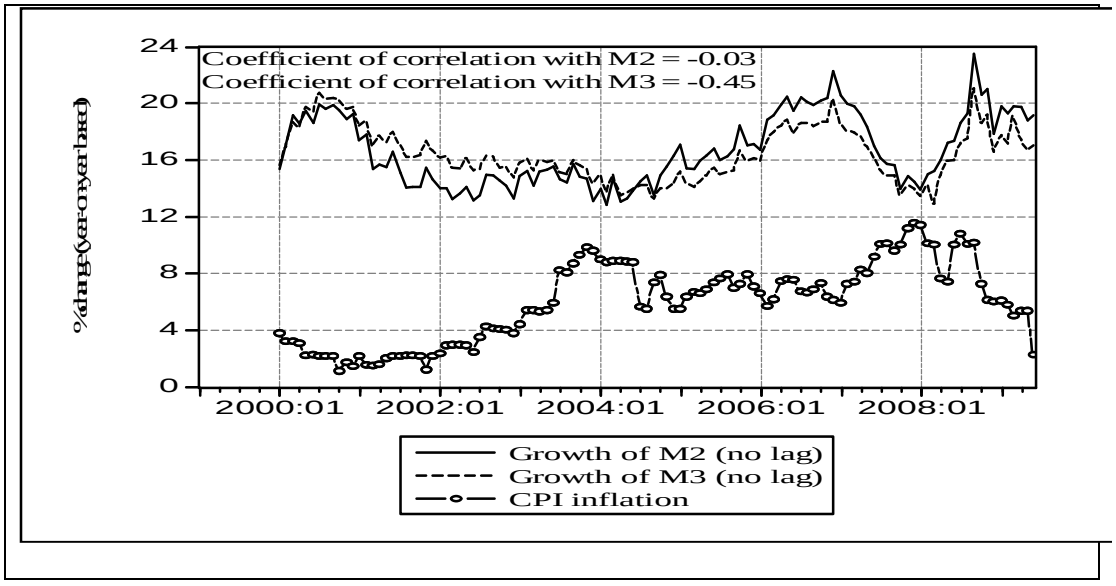
(b) At 15-months lag



Besides the banks, Non-Bank Financial Institutions (NBFIs), Micro Finance Institutions (MFIs) and Credit Co-operatives now have a significant aggregate of deposit balances. Recent studies at BB's Policy Analysis Unit (PAU) reveal that an M3 comprising M2 and the deposits in

NBFIs, MFIs and Co-operatives has better correlation with the CPI than M2 (charts 1.1, 1.2), at 9-15 month time lag for both. There are some issues to be sorted

Chart 1.2: Monetary growth and CPI inflation in full sample: contemporaneous



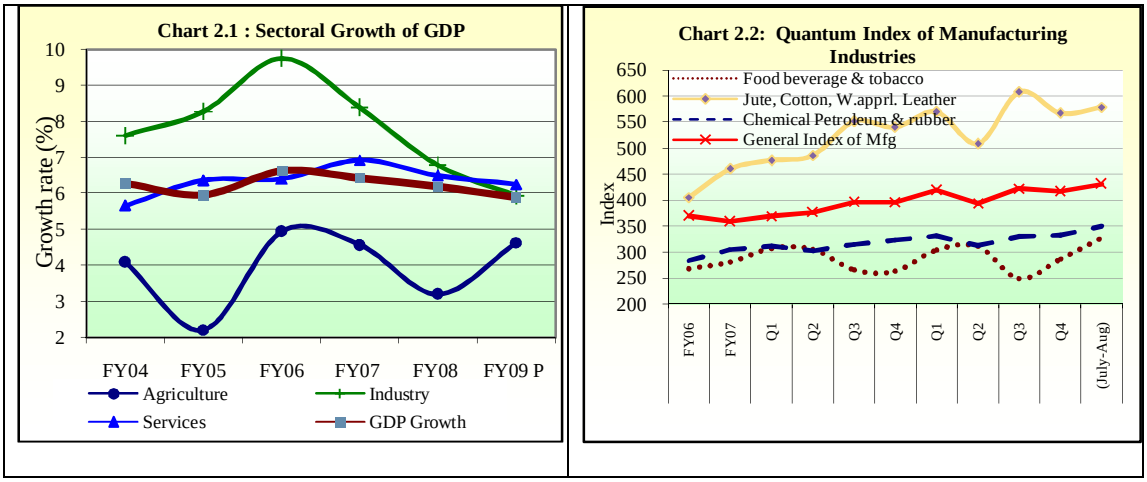
out about the quality of MFI and Co-operatives data before their routine inclusion in an M3 for monetary policy purposes. Monetary programming exercises are gross approximations rather than precise derivations; the differences resulting from use of M2 rather than M3 are not yet large enough to matter significantly for policy conclusions.

Repo, Reverse repo auctions are BB's routinely used instruments for influencing RM growth path; in H1 FY10 auctions of BB bills and secondary market sales of treasury securities were also used, during a period when the market was overflowing with liquidity. There has been no recent use of changes in Cash Reserve Ratio (CRR) or Statutory Liquidity Ratio (SLR) for scheduled banks; drastic instruments typically employed in addressing serious imbalances. Ceilings on interest rates on loans for some priority productive purposes, imposed earlier in the context of global economic downturn remain in place, as downward stickiness of lending interest rates of banks in Bangladesh keep their intermediation margins substantially higher than in the neighboring countries.

2. Macroeconomic outcome, outlook

a. Growth: Intra-year output growth estimates are unavailable for the Bangladesh economy; the foregoing Executive Summary has reviewed trends of available indicators of growth performance, in the nature of informed guesses, to find that (i) after a slower first quarter, manufacturing output and investment activities have picked up from Q2 FY 10 onwards with domestic demand holding up well and exports gradually coming out from declining trend, (ii)

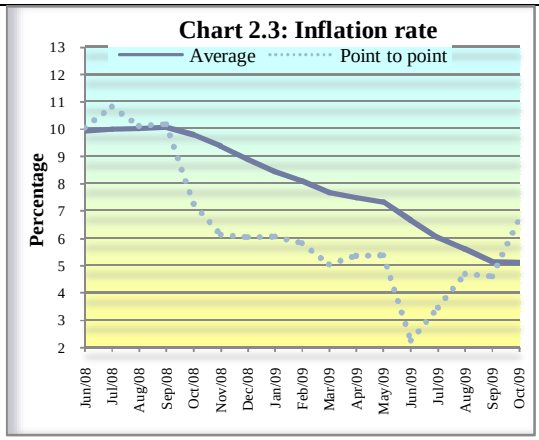
that agriculture sector output activities are responding robustly to market price incentives and the support measures provided by GOB and BB (Box), and (iii) that output activities in the services sector are also correspondingly vibrant; with the higher end of the 5.5-6.0 percent real GDP growth for FY10 projected in the July 09 MPS looking well within attainability.



The dynamism now seen in growth initiatives is largely in the private sector promptly utilizing the stimulus package and facilitation measures provided by GOB (subsidies and incentives to sectors affected by global slowdown) and by BB (easier loan rescheduling, increased EDF lending for input import by manufacturer-exporters, agricultural and SME loans supported by refinance, etc.). GOB's own utilization of expenditure for development projects, while somewhat better than in previous year (28.2 percent of ADP allocations spent in H1 FY 10 against 23.0 percent in H1 FY09), is hardly a robust response in upholding domestic output and demand amidst global downturn. Real GDP growth outlook could have been brighter with government's timelier and fuller utilization of development expenditure allocations. Unless capacity constraints in this area are addressed urgently, benefits from the expected PPP initiatives and the infrastructure development assistance announced under agreements signed with India during Honorable Prime Minister's state visit will be slow to come by, with adverse implications for growth in the near and medium term.

b. Inflation: Point-to-point and 12-month average CPI inflation in Bangladesh were both on declining trend in FY09 from Q2 onward, driven by decline in global prices of oil and other commodities, helped also by bumper domestic output of the boro rice crop. In H1 FY 10 the point-to-point inflation was on fluctuating trend with upward bias both in food and non-food inflation (charts 2.1, 2.2, table 1). Prices of food and non-food commodities have firmed up in international markets, with many of these on uptrend. Domestic prices of rice are holding firm even in the post Aman harvest season, presumably because of much higher prices prevailing in neighboring India, Thailand (this may prove beneficial for price stability over the medium term eliciting good output response from growers of the ensuing boro rice crop). Given the current

trends of internal and external prices, both food and non-food point-to-point CPI inflation in Bangladesh looks set to continue over the coming months on a fluctuating trend with some upward bias; the 12-month average CPI inflation accordingly ceasing decline, and creeping upward in H2 FY10 but remaining within the 6.5 percent ceiling projected earlier in the MPS for H1 FY10.



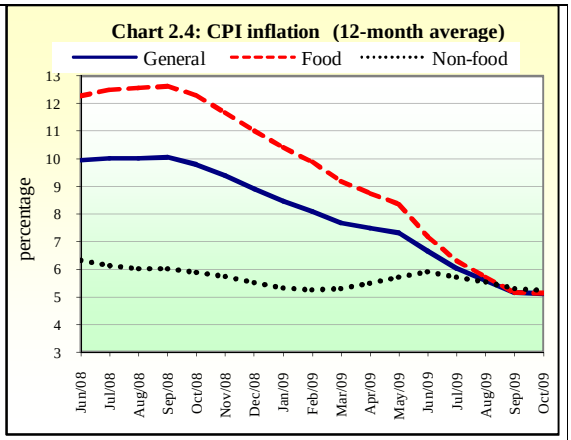


Table 1 : Consumer Price Index and Inflation

Consumer Price Index (CPI) and Rate of Inflation at National Level (Base : FY96=100)												
Period	Twelve-Month Average Basis						Twelve-Month Point to Point Basis					
	General		Food		Non-food		General		Food		Non-food	
	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation	Index	Inflation
2006-2007	176.04	7.20	*184.16*	8.11	165.79	5.90	184.89	9.20	194.19	*9.82*	*173.19*	8.34
2007-2008	193.54	9.94	206.78	12.28	176.26	6.32	203.45	10.04	221.57	14.10	179.32	3.54
2008-2009[P]												
July	195.22	10.00	209.07	12.50	177.12	6.13	206.86	10.82	223.94	13.92	184.44	5.93
August	196.81	10.01	211.12	12.56	178.07	6.01	207.27	10.11	223.77	12.36	185.72	6.55
September	198.43	10.06	213.16	12.63	179.12	6.01	210.14	10.19	227.66	12.07	187.10	7.19
October	199.61	9.80	214.57	12.29	179.99	5.89	209.31	7.26	226.88	8.08	186.13	5.95
November	200.61	9.37	215.74	11.66	180.76	5.73	207.14	6.12	223.98	6.68	184.95	5.25
December	201.58	8.90	216.92	11.02	181.45	5.52	204.9	6.03	220.64	6.83	184.29	4.76
January	202.55	8.46	218.08	10.41	182.17	5.33	204.04	6.06	218.56	6.83	185.20	4.88
February	203.48	8.10	219.14	9.88	182.96	5.26	204.02	5.81	217.88	6.15	186.11	5.33
March	204.30	7.69	219.92	9.18	183.86	5.30	204.65	5.04	217.95	4.49	187.58	6.11
April	205.17	7.49	220.75	8.75	184.82	5.50	204.99	5.36	217.68	4.80	189.00	6.53
May	206.05	7.32	221.60	8.36	185.78	5.71	205.78	5.39	218.65	4.89	189.57	6.49
June	206.43	6.66	221.64	7.19	186.67	5.91	208.02	2.25	222.13	0.25	189.98	5.94
July	207.02	6.04	222.27	6.31	187.25	5.72	214.01	3.46	231.42	3.34	191.33	3.74
August	207.83	5.60	223.19	5.72	187.95	5.55	216.99	4.69	234.80	4.93	194.16	4.54
September	208.64	5.15	224.13	5.15	188.52	5.30	219.80	4.60	239.00	4.98	195.10	4.28
October	209.81	5.11	225.60	5.14	189.40	5.23	223.36	6.71	224.54	7.78	195.56	5.07

The 6.71 percent point-to-point and 5.11 percent 12-month average CPI inflation in Bangladesh as of October 09 are both moderate compared to double digit inflation levels in neighboring India and Pakistan. Demand recovery in the advanced North American and European markets not yet being very firm, global commodity prices should be broadly stable; but there is always the risk of supply shortages or disruptions causing rise in prices of specific commodities, heightened further by speculators in case of major commodities. There is a case for curbing speculation in global prices by debarring position taking in commodity futures by financial institutions including hedge funds and by non financial entities with no actual involvement in the supply chains from producers to users; but populist administrative overreactions obstructing price movements reflecting scarcities or cost increases typically seen

in South Asia are self defeating, and harm by obstructing the needed supply response, thereby prolonging the shortages and higher prices. It may be worthwhile to attempt creating and strengthening consumer awareness on this issue.

c. Fiscal developments:

The Taka 301.5 billion revenue earnings during July-November 09 were 14.1 percent higher than earnings during same period of FY 09; apparently on course for attaining the Taka 794.61 billion FY 10 revenue growth, with high growth in income tax and other NBR tax receipts offsetting the low growth in custom duty receipts. Total government expenditure during July-November 09 is estimated at Taka 342.1 billion. The estimated Taka 86.0 billion utilization of ADP allocations during H1 FY10 is 28.2 percent of the annual allocation of Taka 305.0 billion; better than the 23.0 percent utilization during the same period of FY 09. As usual, the expenditure estimates for FY 10 will be revised on the basis of actual utilization trends in H1 FY10; the ADP allocation is likely to be revised to Taka 275.0 billion from the initial Taka 305.0 billion, with overall expenditure revised to Taka 1108.19 billion from the initial estimate of Taka 1138.19 billion.

Budget deficit for July-November 09 stood at Taka 111.2 billion, the estimated deficit for full FY 10 will stand revised at Taka 313.58 billion (4.57 percent of GDP) against initial estimate of Taka 343.58 billion. Foreign financing of the deficit has been estimated at Taka 154.83 billion (against initial lower estimate of Taka 138.03 billion, due to receipt of USD 740 million financing from ADB), non-bank domestic financing will also be higher because the high interest rates on National Savings Scheme deposit instruments are attracting high net sales. The estimates for FY 10 domestic budget financing, revised accordingly, are (i) Taka 75.99 billion from bank sources against initial estimate of Taka 167.55 billion, and (ii) Taka 82.76 billion from non-bank sources against initial estimate of Taka 38.0 billion.

The recently declared government decision to revise interest rates on National Savings Scheme deposits in line with market rates, when implemented, may to some extent alter the estimated relative shares of bank and non-bank budget financing. Lower dependence on banks for domestic financing of budget can be expected to benefit the private sector by way of readier, more affordable access to bank credit.

d) External sector trends:

Despite gradual growth slowdown from Q2 FY09 onward, exports of Bangladesh registered 10.3 percent growth in FY09 while those of regional neighbors were on decline. The slowdown continued in FY 10, bottoming out at 11.7 percent y-o-y decline in Q1 FY 10, commencing slow recovery thereafter with a lower (6.9 percent) y-o-y decline for July-November 09. Recent increasing trends of opening input import LCs by manufacturer-exporters indicate that exports will soon be back on growth path, hopefully matching in FY10 the FY09 feat of double digit growth.

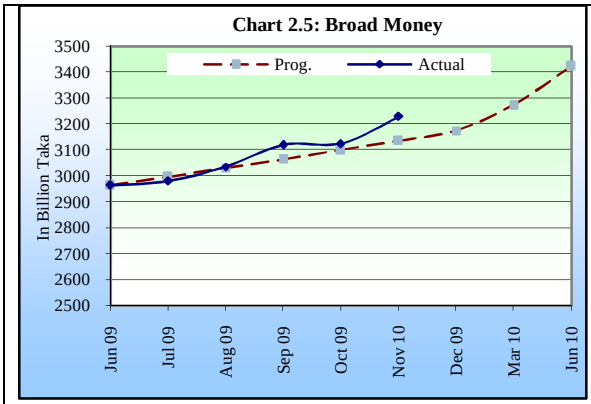
Following 4.1 percent growth in FY 09, imports declined by 12.5 percent y-o-y during July-November 09. Trade deficit narrowed, the decline in import payments being higher than the decline in export receipts in absolute terms. The narrower trade deficit and continuing strong growth in workers' remittances (22.9 percent y-o-y during July-December 09, the inflows presumably including transfers of savings besides transfers from current income for family subsistence) swelled the bop current account surplus (USD 1692 million surplus during July-November 09, against USD 79 million deficit during the same period of FY 09). Foreign exchange reserves increased correspondingly, crossing a new milestone of USD 10 billion in November 09, aided further by USD 740 million budget support for GOB from ADB and by positive net foreign investment inflow.

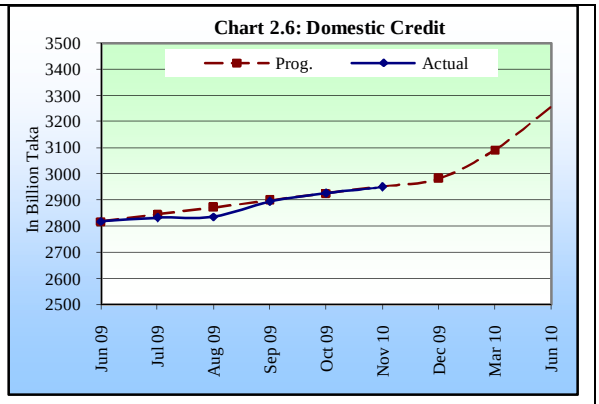
Opening of new import LCs for consumption, output and investment activities have resumed robust increase from Q2 FY 10 onward, with 22.63 percent y-o-y growth in H1 FY10. Import payments trends will consequently be on increasing trend in the coming months, leading to lower surpluses in the current account and slower growth in foreign exchange reserves in H2 FY 10.

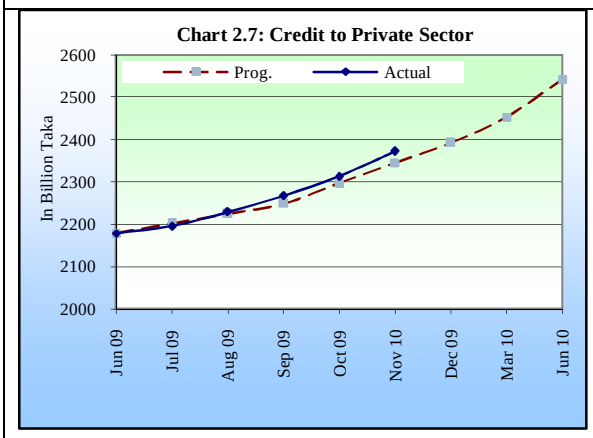
Market interventions by BB (net purchase of USD 1.57 billion from the inter bank market in FY10 up to mid January 2010) have kept exchange rate of Taka broadly stable with moderate undervaluation bias; with weighted average nominal exchange rate at Taka 69.27 per USD as of end December 09, against Taka 69.15 as of end June 09. The REER based exchange rate changed to Taka 68.31 from 63.69 per USD over the same period, indicating significant erosion of the competitiveness cushion in the nominal exchange rate of Taka in H1 FY 10.

e) Developments in money and credit:

High growth in foreign assets at the expense of growth in domestic assets characterizes monetary developments in H1 FY10; for reasons already discussed in the foregoing sections. Slow off-take of bank credit from deposits and soaring workers' remittance inflows led banks to leave large excess balances in their Taka and foreign currency accounts with the BB, causing surge in reserve money growth. Inter bank call money rates plunged to near zero levels in Q1 FY10. To engage with the market towards limiting the liquidity growth, BB resumed auction of 30 and 90 day BB bills, and from October 09 resumed reverse repo auctions after lowering the repo and reverse repo rates by 200 basis points respectively to 4.5 and 2.5 percent, levels closer to the then current call money rates. Economic activities including LC opening for capital machinery imports are picking up steam from Q2 FY 10, with gradual increase in private sector led growth of domestic credit (charts 2.5-2.8, table 2). Growth of foreign assets of the banking system will







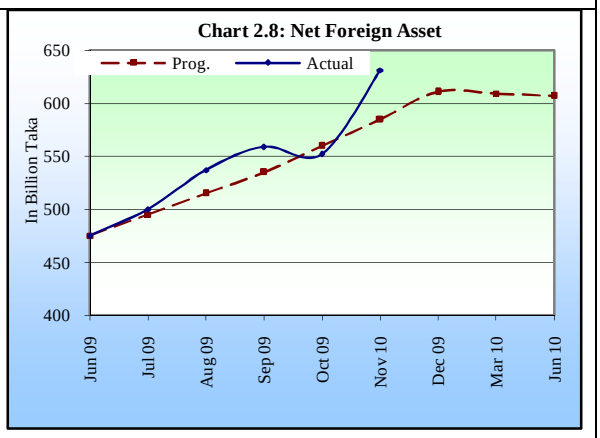


Table 2: Monetary aggregates (y-o-y growth in percent)

	Jun-09	Jul-09	Aug-09	Sep-09	Oct-09	Nov-09	Jun-10 (prog)
1. Net Foreign Assets	27.18	33.94	48.38	49.67	71.11	91.70	27.90
2. Net Domestic Assets	17.76	15.96	14.27	11.57	11.11	10.46	13.10
Domestic credit	15.85	14.88	14.66	12.41	12.59	11.84	15.60
Credit to the pub. sec.	20.27	17.11	16.16	8.13	3.06	-4.59	11.90
i) Credit to the central Govt.	23.24	18.50	19.70	12.87	7.00	-4.67	13.80
ii) Credit to the other non fin. Pub. sec.	4.51	9.32	-1.29	-13.31	-14.38	-4.21	0.00
Credit to the pvt. Sec.	14.62	14.24	14.26	13.65	15.42	16.73	16.70
3.Broad money	19.17	18.63	19.12	16.90	18.45	20.44	15.50
4.Reserve money	31.94	28.3	28.76	24.26	24.87	32.02	7.00

slow down as payments against increasing new import LCs commence. Liquidity conditions in the market are no longer lax, evidenced by primary dealers requesting liquidity support in fulfilling their obligation of taking up devolvement in treasury bill/bond auctions.

The targets for key monetary aggregates in the monetary program for FY 10 as listed in Table 2 of the July 09 MPS has been revised in light of subsequent developments, the revised targets are listed in the last column of Table 2. Thus far, developments of monetary aggregates are broadly on course, higher broad money and private sector credit growth in November 09 was in part due to the Eid festivities. Inflows having been stronger and outflows for imports substantially weaker than initially expected, net foreign asset growth at the end of FY 10 is projected to be positive in the revised program (instead of the initial slightly negative

projection based on presumption of somewhat sharper rebound in economic activities in FY10), also taking account of government's revised lower target of bank borrowing.

3. Monetary policy stance for H2 FY10:

As already mentioned, the monetary stance for H2 FY10 will essentially be a continuation of the stance for H1 FY10 announced in July 09, with adjustments taking into account the developments unfolding in H1. Supportive monetary conditions will be maintained to help the recovery of exports and new investment activities get firmer traction. Successful spurring of growth will keep inflationary pressures in check by maintaining benign situation on the supply side. The primary role in spurring higher growth is for fiscal rather than monetary policies; efficient and expeditious ADP implementation will create conditions crowding in private sector investments, facilitated by congenial monetary regime. Without fiscal policies in full engagement in its due role, underperformance in growth can heighten inflationary risks from permissive monetary conditions.

As mentioned in the earlier issues of MPS, monetary policies of BB seek to support enhancement not only in quantum but also in quality of growth measured in terms of inclusiveness and environmental sustainability; which is why BB has recently embarked on campaign-like thrust on broadening financial inclusion, and has launched several refinance support lines for increased lending to sectors like agriculture, SMEs, effluent/waste disposal, solar/biogas/other renewable energy projects. Lending through these refinance supported special programs will be within, and not in addition to, the overall target for private sector credit growth in the monetary program. BB is motivating banks to expand lending to these under-served sectors both as business case and as CSR obligation; through bank branches as well as by 'branchless banking' in creative, innovative partnerships with MFIs, mobile phone companies and other IT based networks for cost effective remote delivery of financial services.

Deepening of financial intermediation promotes effectiveness of monetary policies by affording added transmission channels; BB's recent steps to deepen and broaden secondary trading in treasury securities include introduction of Delivery Versus Payment (DVP) settlement procedure to eliminate settlement risks, and appointment of some more new primary dealers. A bank's capacity of handling and intermediating large financial flows depend crucially on its capital base and quality of risk management. To enhance this capacity in banks in Bangladesh, BB has introduced mandatory Basel II based capital requirements for banks from 2010 after a year in trial run; steps have also been taken to develop and strengthen risk assessment capacities including forward looking stress testing in the banks as well as in BB supervision departments. To sum up, BB's routine half yearly monetary policy formulation exercises aimed at maintaining price stability while supporting broad based inclusive and environmentally sustainable growth are being underpinned by concurrent efforts to foster environment and technical infrastructure enhancing effectiveness of monetary policies. As always, BB will stand ready to respond promptly with appropriate modification in monetary stance required by any exigency in unfolding developments in the domestic and external scene.